steer subordinates in this direction. Given the competition for talent, traders have to be paid generously based on performance. But, many of the compensation schemes paid for short-term risk-adjusted performance. This gave traders an incentive to take risks that were not recognized by the system, so they could generate income that appeared to stem from their superior abilities, even though it was in fact only a market-risk premium.

The classic case of such behaviour is to write insurance on infrequent events such as defaults, taking on what is termed 'tail' risk. If a trader is allowed to boost her bonus by treating the entire insurance premium as income, instead of setting aside a significant fraction as a reserve for an eventual payout, she will have an excessive incentive to engage in this sort of trade.

Indeed, traders who bought AAA MBS were essentially getting the additional spread on these instruments relative to corporate AAA securities (the spread being the insurance premium) while ignoring the additional default risk entailed in these untested securities.

The traders in AIG's Financial Products Division just took all this to an extreme by writing credit default swaps, pocketing the premiums as bonus, and not bothering to set aside reserves in case the bonds that were covered by the swaps actually defaulted.

This is not to say that risk managers in a financial institution are unaware of such incentives. However, they may be unable to fully control them, because 'tail' risks are by their nature rare, and therefore hard to quantify with precision before they occur. While they could try and impose crude limits on the activities of the traders taking maximum risk, these traders are likely to have been very profitable (before the risk actually is realized), and such actions are unlikely to sit well with a top management that is being pressured for profits.